



Corporate Finance

FINC 612 – Fall 2024

Boone Bowles

Class Room:	Wehner 187
Class Times:	10:45-12:45
Office:	Wehner 360Q
Office Hours:	Class days from 12:45 to 2:00
LMS:	Canvas
Email:	boone.bowles@tamu.edu
Website:	boonebowles.com/teaching/finc612
Teaching Assistant:	Dipesh Metha (dipesh.metha@tamu.edu)

1 Course Description

Firms face important questions: Will the proposed project create or destroy value? Should we invest in robotics or enhance our labor force? Given limited resources, which of several projects should we select? How should we fund the expansion of our facilities? To answer these questions, firms quantify the effects of their decisions on firm value. In this course, we focus on fundamental financial concepts and develop skills in valuation to address these important questions. This course is intensive; we not only seek to understand financial concepts but work diligently to acquire important tools.

2 Objectives

The objectives of this course are (i) to provide a broad overview of corporate finance and (ii) to develop skills in valuation and financial decision making.

3 Materials

- Required: **Corporate Finance, 5th edition** (*Older editions are fine.*)
Jonathan Berk & Peter DeMarzo
- Required: **Financial Calculator**
Common models include the HP12c, HP10b, and TI BAII.
- Required: **Microsoft Excel**
I will use a PC. Seek additional resources if you use a Mac.
- Recommended: **Wall Street Journal**
Student subscription for \$4/mo.

4 Schedule

Pre-Midterm		Post-Midterm	
Week	Class Dates	Week	Class Dates
1	7/29, 7/31	6	9/3, 9/4, 9/6
2	8/5, 8/7	7	9/9, 9/11
3	8/12, 8/14, 8/15	8	9/16
4	8/19	9	9/23, 9/25
5	8/28, 8/29	10	9/30, 10/1

mm/dd indicates mid-term and final exam dates.

This course is structured around eight modules or questions. The questions are listed below along with the accompanying textbook chapters and assignments. The first four questions are covered prior to the mid-term exam. The session on September 30th will be a review for the final exam and will be from 1:30 to 3:00. The final exam will be from 8:30 to 12:30 in rooms 186 and 187.

1. What is a firm and what does it do?Ch. 1, 3; Assignment 1
2. How do I analyze financial statements? Ch. 2, 8.2; Assignment 2
3. How do I value a bond? Ch. 4-6; Assignment 2
4. How do firms value projects and make decisions? Ch. 3, 7-8; Assignment 3
5. How do I value equity?Ch. 9; No Assignment
6. What is the cost of capital? Ch. 10-12; Assignment 4
7. Can I practice some more valuation, please? Ch. 18-19; Assignment 4
8. Is there anything else that I should learn?

5 Grading

Final scores are determined using the rubric shown to the right. If a student wants to drop their midterm exam score and put added weight on their final exam they have until one week after the midterm scores are posted to inform the instructor of this via email. There will be no extra credit. Late work will not be accepted.

Final letter grades are derived from final scores using the scale shown to the right. The instructor reserves the right to scale grades at the end of the course.

Category	%
Quizzes	10
Assignments	25
Mid-term Exam	30
Final Exam	35
TOTAL	100

90% or higher	A
80% – 89%	B
70% – 79%	C
60% – 69%	D
less than 60%	F

5.1 Quizzes

There will be a short quiz at the end of each module. Each quiz will be administered via Canvas and will be multiple choice. The quizzes will cover material from both the textbook and lectures. The aim of each quiz is to promote understanding of class concepts and to check on the development of skills.

5.2 Assignments

There will be four group assignments. These assignments are designed to promote meaningful discussion and work between group members and to help students apply skills developed in class. Students will work in groups previously assigned by the MBA office.

5.3 Exams

There will be one mid-term exam and one final exam. The final exam will be comprehensive. The exams will be administered in class on the dates scheduled. Both exams will require the use of a computer. Students are responsible for ensuring that they will be able to have a computer with excel capabilities in class on the exam dates. The exams are closed book exams. Notes may not be used either. Only in *extreme circumstances* will the instructor consider rescheduling these exams.

6 Expectations

6.1 Instructor

The instructor is expected to begin class on time and to be prepared to deliver lectures and answer questions regarding the scheduled topics. The instructor is also expected to hold regular office hours and to be responsive to student emails.

6.2 Students

Students are expected to attend class and participate in lectures. Students are expected to read the materials from the textbook before class and to reference them as necessary after class. Students are expected to be conversant in current financial news. It is expected that students are self-motivated, self-organized, and respectful. Students are expected to fully participate with their group. Finally, students are expected to put forth effort on all assignments and exams, and to complete assignments on time.

7 Other Details

7.1 Aggie Honor Code

"An Aggie does not lie, cheat, or steal or tolerate those who do."

7.2 Americans with Disabilities Act Policy Statement

The Americans with Disabilities Act (ADA) is a federal anti-discrimination statute that provides comprehensive civil rights protection for persons with disabilities. Among other things, this legislation requires that all students with disabilities be guaranteed a learning environment that provides for reasonable accommodation of their disabilities. If you believe you have a disability requiring an accommodation, please contact Disability Resources at Texas A&M University.

7.3 Phone and Laptop Policy

Phone use is not permitted in class. Laptops are allowed.

7.4 Prohibition of Recording

To encourage open, honest, and transparent discussions, students and instructor must have an expectation of privacy during the course of the semester. To this end, students are not authorized to make an audio, video, or photographic record of any person or occurrence that happens within the classroom.

7.5 Copyrights

All lectures and course materials (including syllabus, assignment, quizzes, tests, and similar materials) are the intellectual property of the instructor. Students may print and make copies for their own use. However, students are not authorized to share, reproduce, distribute, or otherwise make public (online or elsewhere) these course materials without the written consent of the instructor.